

CWRU Investing – Part 2 Week 7

Presented by

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Agenda

- ◆ Finish Mutual Fund Research Activity
- ◆ Last Week
 - ◆ Investing Basics
 - ◆ Stocks/Bonds Overview
 - ◆ Diversification
- ◆ This Week – Investing Basics continued
 - ◆ Active versus Passive Management
 - ◆ Building a Portfolio
 - ◆ Target Date Retirement Funds



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Investment Philosophies



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Active versus Passive Management

- ◆ Active Management – actively buying and selling investments in order to outperform a related index, such as the S&P 500 Index
- ◆ Passive Management – creating a portfolio intended to track / match the related index (aka: index fund)



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Passive Investment Support

- ◆ Warren Buffet is highly publicized proponent of passive management and suggests index funds are the way to invest
 - ◆ Index Funds typically have lower costs, Active Funds have to earn more to cover higher costs.
- ◆ Study: Ferri & Benke (Created passive portfolio and tracked pre-tax results from 1997 to 2012 and compared to 5,000 portfolios of randomly selected active funds with same asset allocation)
 - ◆ Index Portfolio (Passive)
 - ◆ Vanguard Total Stock Market Index Fund 40%
 - ◆ Vanguard Total International Stock Index Fund 20%
 - ◆ Vanguard Total Bond Market Index Fund 40%
 - ◆ 89.2% of the time the passive portfolio out-performed the active portfolios
 - ◆ Out-performance average .5%
 - ◆ Under-performance average .9%

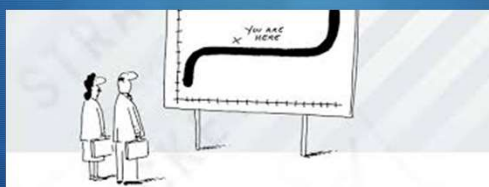
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Active Investment Support

- ◆ Suggests that markets are less efficient than once thought
 - ◆ Irrationality of individual investors creates opportunities for active managers
- ◆ “Performance” should be considered in terms of the needs of the investor and “outperformance” needs to be evaluated on those terms rather than on comparison to the market index.

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Investment Strategies



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Keep It Simple (KISS)

- ◆ Benefits of Starting With Simple Strategies
 - ◆ Easy to Understand the Risk-Reward Ratio
 - ◆ Reduces Your Fear Factor.
 - ◆ Easy to Monitor.
 - ◆ Keeps Annual Costs and Fees Very Low.
 - ◆ Allows you to start to invest while you are still learning!!!!
- ◆ Simple Retirement Investment Strategies
 - ◆ Portfolio of Index-funds based on your desired asset allocation
 - ◆ Balanced Mutual Funds
 - ◆ Retirement Target Date Mutual Funds



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Balanced Mutual Fund



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Balanced Mutual Fund

- ◆ Fund of Both Stocks (Equities) and Bonds
 - ◆ “Conservative”: 40% Equity and 60% Bonds.
 - ◆ “Moderate” : 50.0% Equity and 50% in Bonds
 - ◆ “Aggressive”: 60.0% Equity and 40% in Bonds
- ◆ May Invest Only Domestically
 - ◆ U.S. Stocks and Bonds.
- ◆ May Invest Globally
 - ◆ U.S. and International Stocks
 - ◆ U.S. and International Bonds

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VANGUARD BALANCED INDEX FUND

- ◆ Total Funds Under Management
 - ◆ \$58.54 Billion
- ◆ Annual Fund Fees & Expenses as a Percentage of Total Funds
 - ◆ .18 % (This is a VERY LOW expense ratio!)
- ◆ Target Portfolio Composition
 - ◆ 60% in U.S. equities (50% – 70%)
 - ◆ 40% in U.S. bonds and money market instruments



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VANGUARD BALANCED INDEX FUND (VBINX)

- ◆ Average Annual Total Return
 - ◆ Last 10 Years : 8.35%
 - ◆ Last 5 Years: 8.43%
 - ◆ Last Year: 16.14%
- ◆ Worst Annual Total Return (in past 10 years) -16.87 in 2020 (since 1993: -22.21 in 2008)
- ◆ Best Annual Total Return + 21.67 % in 2019 (since 1993: 28.64 in 1995)
- ◆ Data per yahoo finance through 2024.



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Target Retirement Date Mutual Funds



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Target Retirement Date Funds

- ◆ Investment Strategy is based on the “Time Left to Retirement”
 - ◆ The farther away from the Retirement Date, the higher the risk and potential return of the investment portfolio.
 - ◆ The closer to the Retirement, the lower the risk and potential return of the investment portfolio.
- ◆ Manager uses Indexed Mutual Funds as Investments
 - ◆ Low cost way of getting market returns.
- ◆ Fund does not “expire” in Retirement Year.
 - ◆ Continues on and becomes more conservative and more focused on providing income (as opposed to growth).

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Target Retirement Date Funds

◆ ADVANTAGES

- ◆ Diversification.
- ◆ Automatic reduction in the risk/reward ratio as you get closer to retirement.
- ◆ Low costs
- ◆ Professional Management.

◆ DISADVANTAGES

- ◆ You must choose the Retirement Year.
- ◆ Forces a risk/reward ratio on you.



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Vanguard Target Retirement Date Funds

- ◆ Each Vanguard Target Date Fund has an expected retirement year.
 - ◆ Earliest Year is 2025 and the latest year is 2065.
 - ◆ Exposure to stocks is higher (potential risk/reward is higher) the farther away you are from the target date while exposure to bonds starts to increase (potential risk/reward declines) as you get closer to the target date.
- ◆ Once the retirement year is reached, Vanguard continues to manage the fund's risk down for an additional seven (7) years.
 - ◆ Fund manager continues to reduce exposure to equities while increasing exposure to bonds and money market instruments.
- ◆ Once the 7th anniversary reached, the retirement fund is managed in the same manner as that of the Vanguard Retirement Income Fund.
 - ◆ Assumes investor in the Fund is retired and seeks low risk and steady income.

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Building a Portfolio in your employer plan



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Building a Portfolio

1. Determine your investment philosophy (Active/Passive)
2. Determine your desired investment strategy(ies) including asset allocation (diversification level).
3. Review investment options and fund information
4. Select investments
5. Review periodically / Rebalance as desired based on strategy



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Recommendations



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Things to Remember Long-term Perspective

- ◆ These funds are invested for retirement, not accessed before then.
- ◆ Don't look at your account balance every day – you'll go crazy!
 - ◆ **Trend in value** is more important in today's value. (10 to 30 years)
- ◆ Long-term growth – need equities/stocks
- ◆ Bonds and cash –lower the risk of over-all portfolio
- ◆ Don't freak when market drops, market lows are a good time to buy, but engaging in “market timing” is very difficult over the long period.
- ◆ Do your homework – don't invest in something just because someone else told you to – do your own research first. Avoid penny stocks.

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Educate yourself

- ◆ Websites (But be cautious to avoid/ignore investment advertisements)
 - ◆ Nerdwallet.com
 - ◆ Motley Fool
 - ◆ Investor.gov/introduction-investing
 - ◆ Optional Assignments in your StockTrade Simulation.
- ◆ Books
 - ◆ Check your local library!
- ◆ Other Suggested Readings:
 - ◆ “Money Magazine” – Monthly, subscribe or find at the library
 - ◆ “A Random Walk Down Wall Street” – Burton G. Malkiel
 - ◆ “Yes, You can get a Financial Life!: Your Lifetime Guide to Financial Planning,” by Ben Stein and Phil DeMuth



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Questions



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